Decentralization, Elite Effort, and Administration

in the Russian Empire

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1. Highlights

- **How do weak states build capacity** without the money, people and information to govern? They need the human capital of local elites, but elites who control local taxes do not tax themselves, so budgets stay small and local office is not worth taking.
- **Our argument: enfranchise the majority in local assemblies with the power to tax the elite.** Budgets grow, office becomes valuable, and the same elite that opposes the new taxes enters local office to run them.
- Russia's **1864 zemstvo reform** enfranchised more than forty million people in elected district assemblies that could tax all immovable property, noble land included. No curia could hold more than half the seats.
- **Four findings.** (1) Assemblies brought landowning nobles and higher-ranked officials into local office, and cheaply: the crown handed out fewer promotions. (2) Entry was stronger where the majority held more seats. (3) Local taxes rose about **fourfold**, and estates under majority-controlled assemblies paid more. (4) Local courts resolved far more cases.

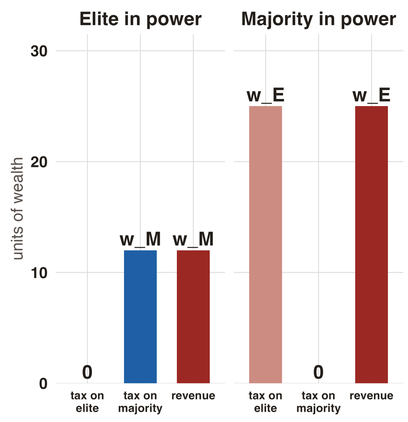
Enfranchise the majority → Larger local budgets → Elite entry into office → Administrative capacity

2. A model of enfranchisement and elite effort

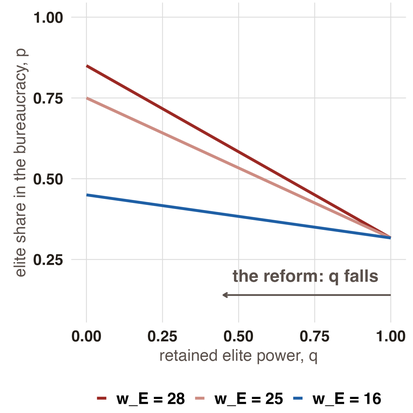
The state sets q, the chance that the elite controls the assembly. Each group taxes the other and not itself, so the majority raises more ($w_E > w_M$). Officials share a fraction ρ of revenue as rents; member i enters at private cost ε_i.

$$\text{Enter iff } \varepsilon_i \le \rho\,\mathbb{R}(q),\ \mathbb{R}(q) = q\cdot w_M + (1-q)\cdot w_E \implies p(q) = F(\rho\mathbb{R}(q)),\ \partial p/\partial q = -f\,\rho\,(w_E - w_M) < 0$$

Opening an assembly moves a district from $q = 1$ (noble assembly) to $q < 1$: expected revenue and elite participation both rise. The state always concedes some franchise ($q^* < 1$), trading the political cost of empowering the majority against recruitment and public goods.



Each group taxes the other; a majority in power raises more.



Entry rises as the elite loses power (q falls).

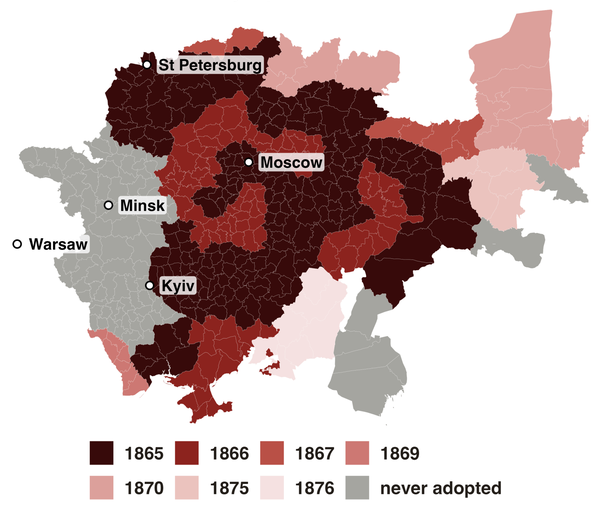
3. Data

- **The bureaucracy.** *Senate Gazette* 1860–1876: more than 600,000 appointments, entries, promotions and exits, extracted by three fine-tuned language models and combined by vote; ranks from the Table of Ranks (1 is the top).
- **Future high officials.** 3,300 men who entered in 1860–76 and later reached classes 1–4; 10,100 positions.
- **The elite.** 21,000+ estates with 100+ male serfs (1858 survey); owners matched to noble families registered with the local corporation by 1864.
- **Taxes and courts.** Local and state levies for 48 provinces, 1853–1892; 215 estate balance sheets and the first assemblies' composition, 1873; Ministry of Justice caseloads, 1861–1868.

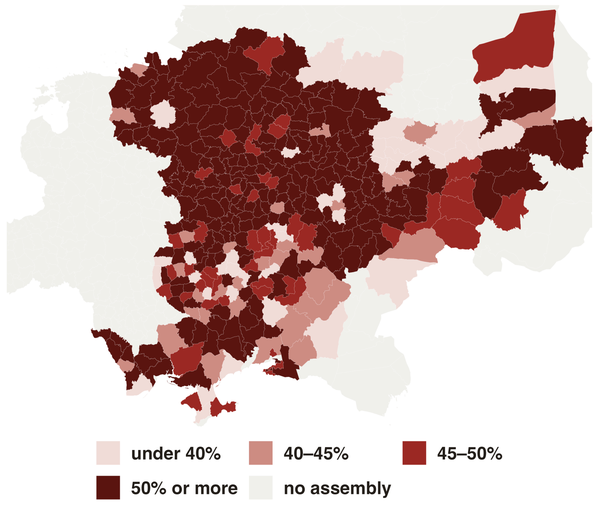
4. Empirical strategy

- **Staggered rollout:** 343 districts opened assemblies 1865–1876; 89 never did (432 in all).
- From the State Council archive we **reconstruct the seat formula**; it reproduces the printed schedule at R^2 = 0.97 / 0.91 / 0.96 (landowner / urban / peasant seats), and predicts the seats every district *would* have had.

A. Year the assembly opened



B. Landowners' curia, share of seats



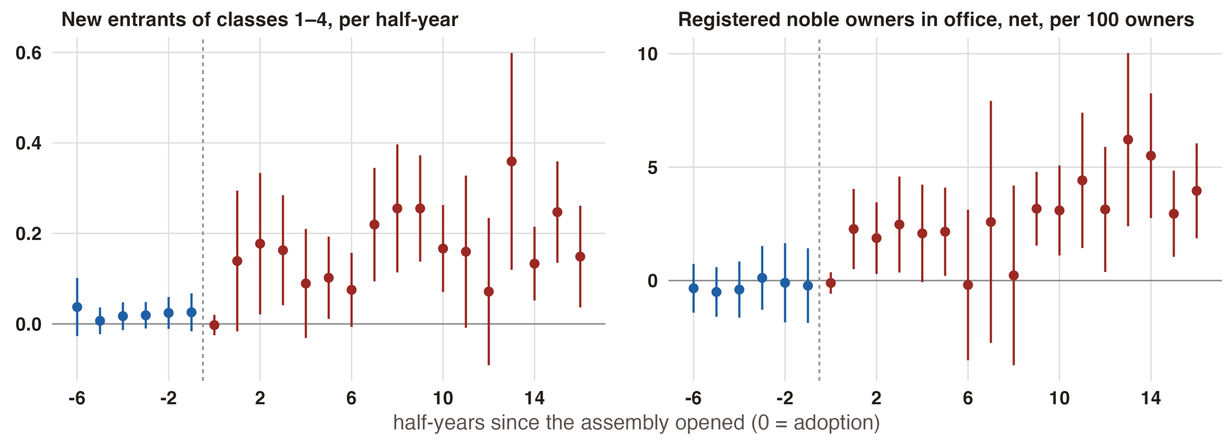
$$Y_{it}(0) = \alpha_i + \beta_t + X_i'\gamma_t \quad \hat{\tau}_{it} = Y_{it} - \hat{Y}_{it}(0) \quad \hat{\tau} = \text{mean over treated } (i,t) \text{ of } \hat{\tau}_{it}$$

Imputation estimator of Borusyak, Jaravel & Spiess (2024), fitted on untreated district half-years; adopters, not-yet-treated controls. X_i × half-year: predicted landowners' seat share, share of registered noble families, Cossack land, number of owners (these predict adoption timing, R^2 = 0.82). SE clustered by province.

Key assumptions. Conditional parallel trends and no anticipation; six pre-adoption leads test both.

5. Results: who entered local office

Better officials and the landed elite. Entrants of classes 1–4 rose about fivefold; officials from registered noble families rose by 3.3 per 100 owners from 0.6. Transfers ordered by the centre did not rise at the top, so this is demand for local office, not appointment from above.



Blue: pre-adoption leads; carmine: effects after the opening. 95% CI.

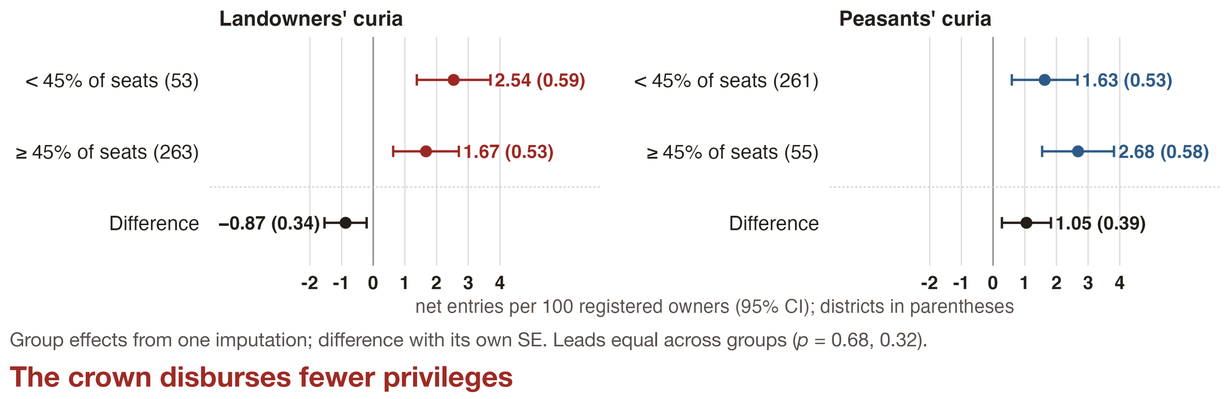
Outcome (adopters, controls)	Mean before	ATT (SE)	Pre-trend p
New entrants, classes 1–4, per half-year	0.028	**0.139 (0.028)**	0.55
New entrants, classes 5–14, per half-year	1.11	**2.83 (0.24)**	0.04
Future high officials, positions taken up per year	0.083	**0.74 (0.09)**	0.13
Registered noble owners, net per 100 owners	0.64	**3.34 (0.32)**	0.72
All noble owners, net per 100 owners	0.52	**3.39 (0.31)**	0.43

Robust to anticipation of the statute and of local orders, to defining the elite by 3,263 leader families (marshals, committee members, peace mediators), to each extraction model, and to dropping common surnames.

6. Validation

Enfranchisement drives entry

Where landowners held less of the assembly, and peasants more, the elite entered more. Seats, not land: where the 50% cap fixes landowners' seats, districts with more noble land show no smaller effect (+0.07, SE 0.27).



Group effects from one imputation; difference with its own SE. Leads equal across groups (p = 0.68, 0.32).

The crown disburses fewer privileges

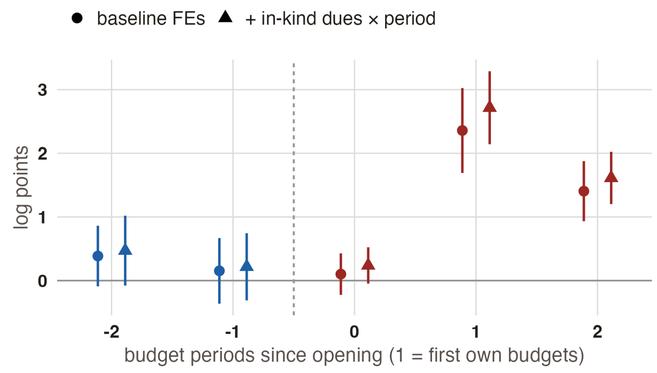
Office now paid for itself. The state, which rewarded service with rank and its privileges, promoted less often and moved officials up fewer rungs.

Per district half-year	Mean	ATT (SE)
Promotions	5.60	**–1.34 (0.35)**
Total rank advancement	4.80	**–1.49 (0.28)**
Ranks per promotion	1.18	**–0.29 (0.04)**

7. Mechanisms

A larger tax base

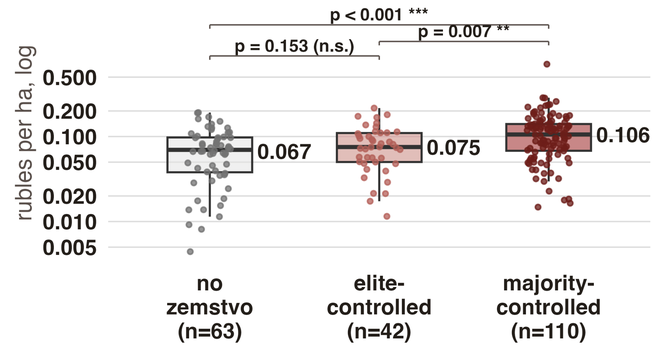
The assemblies' levy rose **×4.3** per inhabitant. Against the state levy on the same base in the same province, the local levy rose ×3.6, from the assemblies' first own budgets (1869–71).



Local minus state levy, log per inhabitant.

The majority taxed the elite

Balance sheets of 215 noble estates, 1873: under elite-controlled assemblies estates paid 0.22–0.35 log points less per hectare than under majority control, no more than without a zemstvo.



Wilcoxon rank-sum tests; * p<0.05, ** p<0.01, *** p<0.001.
3 estates with no taxes recorded (no-zemstvo provinces) not shown.

Rubles per hectare, by who controlled the assembly.

Service, not defence

Elites entered the posts the assemblies chose and paid for, the judiciary, not police or tax posts that could obstruct the assembly.

Registered owners, net per 100	ATT (SE)
Justice	**3.54 (0.49)**
Police, tax and military	–0.30 (0.22)
Healthcare / education / other	–0.01 / 0.12 / –0.34

More justice delivered

Resolved cases rose by 3.3 per 1,000 people from 3.6, all in district-years with elected justices of the peace; estate courts (placebo) did not move.

Resolved per 1,000	ATT (SE)
State courts	**3.33 (0.99)**
with justices of the peace	**8.99 (1.33)**
old courts only	–0.97 (0.26)
Estate courts (placebo)	–0.03 (0.03)

References. Besley & Persson (2011) *Pillars of Prosperity* · Borusyak, Jaravel & Spiess (2024) *REStud* · Starr (1972) *Decentralization and Self-Government in Russia* · Suryanarayan (2021) · Acemoglu & Robinson (2000) *QJE*.
Sources. PSZ II no. 40457; RGIA f. 908 op. 1 d. 123, f. 571 op. 6 dd. 1023–1024; *Senatskie vedomosti* 1860–1876; Tax Commission 1863; Ministry of Justice reports 1861–1868; Vysoch. Komm. 1873.

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